

**Banking Regulation & Policy Department  
Bangladesh Bank  
Head Office  
Dhaka**

Website: [www.bb.org.bd](http://www.bb.org.bd)

**BRPD Circular Letter No. - 05**

**Date:** 31 May, 2016  
17 Jaishtha, 1423

**Managing Director/Chief Executive  
All scheduled banks operating in Bangladesh**

Dear Sir,

**Regarding amendment of Guidelines on Risk Based Capital Adequacy – Revised  
Regulatory Capital Framework for Banks in Line with Basel-III**

[Please refer to the BRPD Circular No. 18, dated December 21, 2014.](#)

As per section 3.1.3 of "Guidelines on Risk Based Capital Adequacy - Revised Regulatory Capital Framework for banks in line with Basel–III", general provision/general loan-loss reserve eligible for inclusion in Tier 2 capital is limited to a maximum 1.25% of credit risk-weighted assets.

Henceforth, the entire general provision maintained against unclassified loans and advances as per regulations will be considered as capital under Tier-2. As such, Footnote No. 08 on page-08 (general provision/general loan-loss reserve eligible for inclusion in Tier 2 will be limited to a maximum 1.25 percentage points of credit risk-weighted assets calculated under the standardized approach) of the said guidelines is superseded by this circular.

This instruction will come into force with immediate effect.

Yours sincerely,



**(Abu Farah Md. Nasser)**  
General Manager  
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